Executive tear sheet

Serendib University Endowment | USD 10 million | 2026-09-30

Proposed decision: Adjust. Adopt A1_min_cvar only after owner review of the stated trade-off.

ETF	Weight	USD
SPY	15.00%	$1,500,000
EFA	0.00%	$0
EEM	0.00%	$0
AGG	70.00%	$7,000,000
GLD	15.00%	$1,500,000
XLE	0.00%	$0
XLK	0.00%	$0

One-day 99% model	VaR USD	ES USD
historical	$94,130	$141,417
normal	$83,215	$95,586
mc_t	$94,971	$130,290
evt	$99,408	$137,817

After-cost CAGR 5.49%; maximum drawdown -16.79%. Historical replay, not untouched evidence.

Stress losses and validation are allocation-specific. VaR/ES do not cap loss. Review at 10% drawdown/yellow zone; consider validated de-risking at 15%/red zone.

Validation (garch_evt, 99%): 33/2449 breaches, yellow zone; Kupiec p 0.101, conditional coverage p 0.056. Largest specified scenario loss $1,483,649.

Illustrative real-capital shortfall after spending: 60.92% at five years; 67.41% at ten years. Material concern for owner review; not a calibrated forecast.

Run final-20261027; weights a4698cec361f. Owner validation and solo eligibility pending. AI assistance disclosed in memorandum.

Documentation revision r1: disclosures added after preregistration; frozen analysis and verdict unchanged.

Return objective: C3 passes under the frozen 50% mean shrinkage (8.02% vs the 6.77% hurdle). On raw historical means this allocation gives 4.34% to 5.41%, below the hurdle in every 5-year, 10-year and full-sample window. Shrinkage toward the seven-ETF average raises AGG's estimate.

Long history: XLK fell 82.05% from 2000-03-27 to 2002-10-09; no other ETF shows a deeper pre-2005 drawdown. The dot-com crash cannot be replayed for this allocation because AGG and GLD did not yet trade. Shortfall above means real capital not preserved, not fund exhaustion.